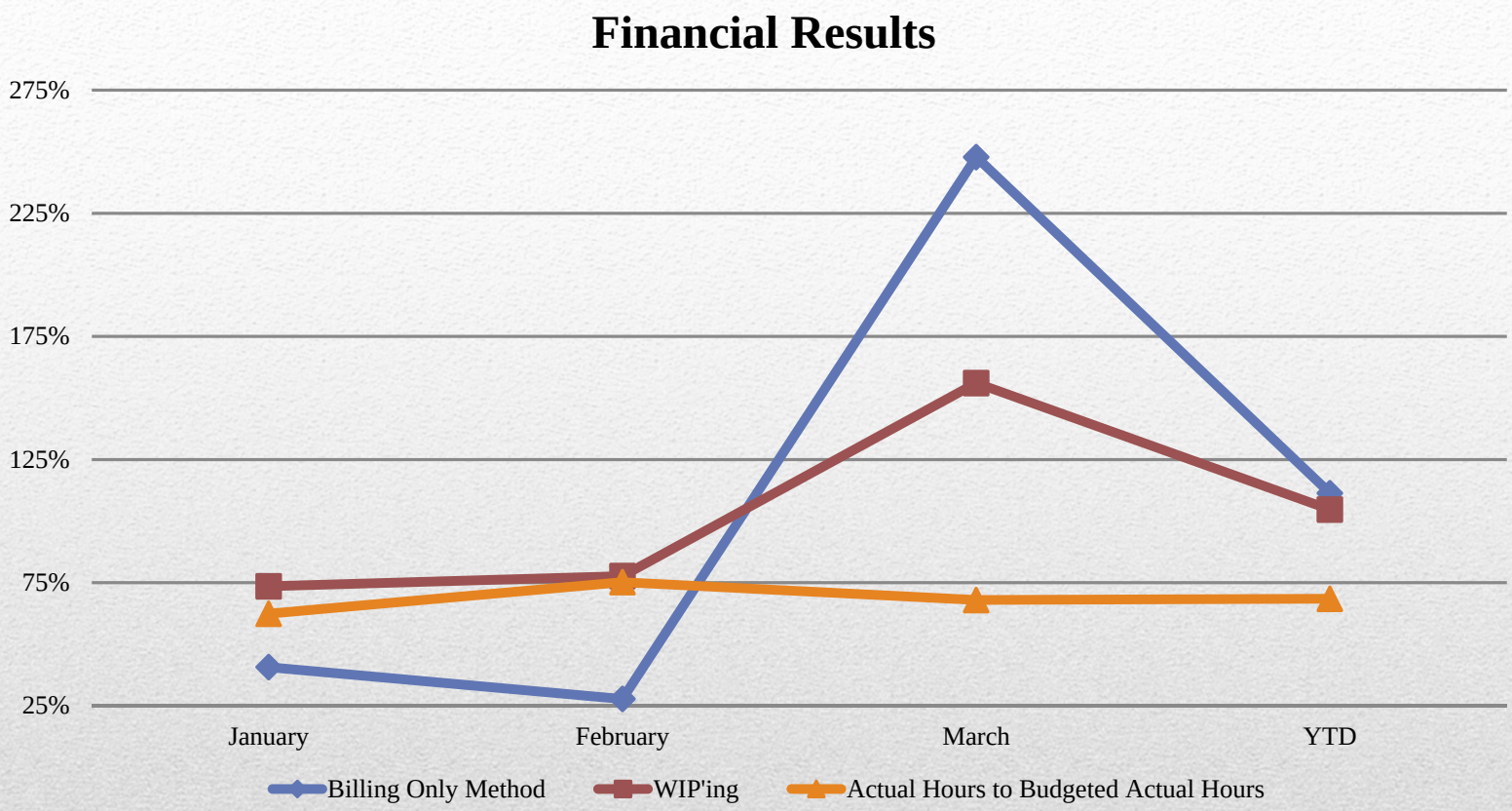
Satellite WIP

April 2017

- **When does this begin**
  - April 2017
- **Why now?**
  - Overall change in Satellite work scopes
  - Better Revenue Recognition
  - More timely & accurate reporting of financial results (board, bank, shareholders)

The Whens & Whys



How will this impact monthly results?

How were they determined?

- Reviewed last 15 months of billing history
- Considered Budgeted Rates for 2017
- Analyzed future changes in market by dept.

***WIP Rates are reviewed and evaluated every six months**

Dept	Budget 2017		2017 Established WIP Rates (first 6 months)	
79	82.93	19.00%	65.00	15.00%
80	155.00	20.00%	124.00	16.00%
81	140.00	18.00%	108.00	12.00%
82	105.00	19.50%	84.00	16.00%
83	98.00	25.00%	80.00	17.00%
84	98.00	18.00%	80.00	13.00%
86	102.20	19.00%	82.00	15.00%
87	134.00	20.00%	110.00	16.00%
88	100.00	19.00%	80.00	15.00%
89	100.00	19.00%	80.00	15.00%
90	118.00	18.00%	80.00	15.00%
91	110.00	18.00%	90.00	15.00%
92	115.00	20.00%	90.00	16.00%
93	110.00	20.00%	90.00	16.00%
94	117.00	20.00%	95.00	16.00%
95	128.00	20.00%	95.00	16.00%
96	150.00	20.00%	120.00	16.00%
97	110.00	20.00%	80.00	16.00%
98	98.00	20.00%	80.00	16.00%

Established WIP Rates

1. Email from Jamie the last week of the month

2. Attachment includes all open work orders by dept. as of the Sunday before the email is sent

3. Filter jobs over 20 hours for review

4. Open the Job Tracker WIP Analysis Spreadsheet

Subject: Wip Changes

Good Afternoon,

LNK users the spreadsheets can be found at J:\Group\Monthly Work Order Analysis. BTL, please head out to the K drive to update your numbers. If any updates need to be made, please let me know as soon as possible. The listing of open work orders is attached below, just filter by department!

Below is the active warranty, incidents and other work order related liabilities. Please review the listing below for any updates such as billings or additional hold backs that might be necessary relating to these projects. If you have any changes with the open items listed below, please e-mail so we have a paper trail of the changes made. If you have any questions or concerns, feel free to call me!

Thanks!

Duncan Aviation
Work Order Liabilities - Acct. 21560
2017

	A	B	C	D	E	F	G	H	I	J	K	L	M
	De	Shop L	WO	D	Cust#	Cust Name	In Date	Out Date	NNO	Total Promo Co	Labor Hrs	Labor Cost	Parts Cost
21	82	0	50U2A		139908	Cash Invoices--FT Lauderdale *	2/16/2017	12/31/2039	N600PH	0.00	28.50	954.82	676.22
22	82	0	5003A		109330	Jet Harbor Inc	2/3/2017	12/31/2039	N777GU	0.00	20.00	737.00	0.00
26	82	0	51DUA		127453	Reva Inc	3/29/2017	12/31/2039	N830TM	0.00	478.50	15,853.97	97,374.07
34	82	0	51P0A		108229	HELICOPTERS INC	2/28/2017	12/31/2039	N21CL	0.00	33.00	1,102.58	0.00
54	82	0	53NEA		127453	Reva Inc	3/29/2017	12/31/2039	N830TM	0.00	29.50	977.38	1,109.50
55	82	0	53N8A		101621	AOK Jets	3/29/2017	12/31/2039	N604WH	0.00	20.00	662.61	0.00
60	82	0	53YBA		137980	Aviation Mgmt & Technical *	4/2/2017	12/31/2039	N227CP	0.00	20.00	811.73	0.00
77	82	0	54MLA		101621	AOK Jets	4/12/2017	12/31/2039	N167DF	0.00	47.00	1,557.14	16,732.00
37	82	0	5417A		104123	Charter Airlines Inc	4/3/2017	12/31/2039	N703DJ	0.00	20.00	662.61	0.00
92	82	0	5444A		130911	PRIME JET LLC	4/6/2017	12/31/2039	N450EF	0.00	42.00	1,391.47	4,255.00
46													

Customer	127453											WIP Rates				
Work Order:	51DUA															
Work description		Labor Revenue	Parts Revenue	Sold Parts Margin	Current Hours	Additional Hours Expected	Total Expected Hours	Estimated Ending ELR	Current Parts Cost	Estimated Additional Parts Costs	Estimated Total Parts Costs	ELR	Parts Margin	Potential Labor (Loss) Gain	Potential Parts (Loss) Gain	Potential Combined (Loss) Gain
FDR Installation		89,389	156,881	17.00%	774	200	974	91.78	120,451.37	10,000.00	130,451.37	84.00	16%	7,573	1,581	9,154

The Process

Review the open work order & update your Job Tracker WIP Analysis Spreadsheet

Notify Matt/Brian concerning any potential updates that need to be made to special WIP a project

Updates will communicated to accounting via the Special WIP rates file

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 4/26/17                          DUNCAN AVIATION                          HARDJ
17:01:24                       Financial Information                      WOR0086P   D2

Work order number . . . . 51DUA                                                _     ?=List
Squawk#/Sub-sqk seq#. . . 0000 000  Dept . . . . ___                                 ?=List
Invoice code  . . . . . . *   * ALL INVOICES *                                 *=ALL,?=List

Bill date . . . . . .  0/00/0000 Department  SFI SAT - Ft Lauderdale Insta
Bill to number  . . .     127453 Reva Inc
Aircraft reg no . . .  N830TM            BEECHCRAFT        Model. 800XP
Effective labor rate.   115.49   Target Profit Margin
Overtime hours  . . .        .0  Labor. . .     .0         Parts. . .     .0
Double time hours . .        .0

Type    Lbr Hrs      Labor         Parts        O/S serv       Tax          Total
List      893.9     89389.00     156880.55      14226.79        .00     260496.34
Discnt       .0          .00          .00           .00        .00          .00
Price     893.9     89389.00     156880.55      14226.79        .00     260496.34
Cost      774.0     26782.68     120451.37        244.97        .00     147479.02
Profit    119.9     62606.32      36429.18      13981.82        .00     113017.32
Margin     13.4 %      70.0 %        23.2 %        98.3 %     00.0 %        43.4 %
F3=Exit   F4=Prompt   F5=Refresh   F7=Menu   F9=Prev dept   F11=Next dept    +
F12=Cancel
```

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												WIP Rates				
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Duncan Aviation
Satellites
Special WIP Rates

WO	WO Dept Owner	Acct Use	Tail	Customer Name	April WIP ELR	April Parts Margin
Work Orders in Process						

The Process…continued

Putting this into practice

- Facts of our case study
  - Customer Number - 11111
  - Work Order - 123AB
  - Type of service performed - RCZ AND RMU UPGRADE
  - Estimated Labor Revenue -19,000 with an estimated 190 hours to complete
  - Estimated Parts Revenue - 91,431 at 12% margin

Scenario #1

October

- Cumulative Labor Hours
  - 9
- Cumulative Parts Costs
  - 0

For WIP purposes what would we do?

November

- Cumulative Labor Hours
  - 706
- Estimated Additional Hours
  - 50
- Cumulative Parts Costs
  - 41,661
- Estimated Additional Parts Costs
  - 40,000

December

- Cumulative Labor Hours
  - 763
- Estimated Additional Hours
  - 25
- Cumulative Parts Costs
  - 72,662
- Estimated Additional Parts Costs
  - 10,000

February

- Cumulative Labor Hours
  - 844
- Cumulative Parts Costs
  - 80,161

	October		November		December	
	Labor	Parts	Labor	Parts	Labor	Parts
Revenue Recoginized @ established	553	-	45,871	49,012	49,751	85,484
With Special WIP Rates Used	553		16,937	47,341	16,839	82,570
Variance	-	-	28,934	1,671	32,912	2,914

	February		March Billings		Adjustment in March	
	Labor	Parts	Labor	Parts	Labor	Parts
Revenue Recoginized @ established	54,873	94,308	19,000	91,431	35,873	2,877
With Special WIP Rates Used	18,572	91,093	19,000	91,431	(428)	(338)
Variance	36,301	3,215				

What happens if we don't special WIP?

Scenario #2

November

- Cumulative Labor Hours
  - 200
- Estimated Additional Hours
  - 150
- Cumulative Parts Costs
  - 40000
- Estimated Additional Parts Costs
  - 40,000

For WIP purposes what would we do?

December

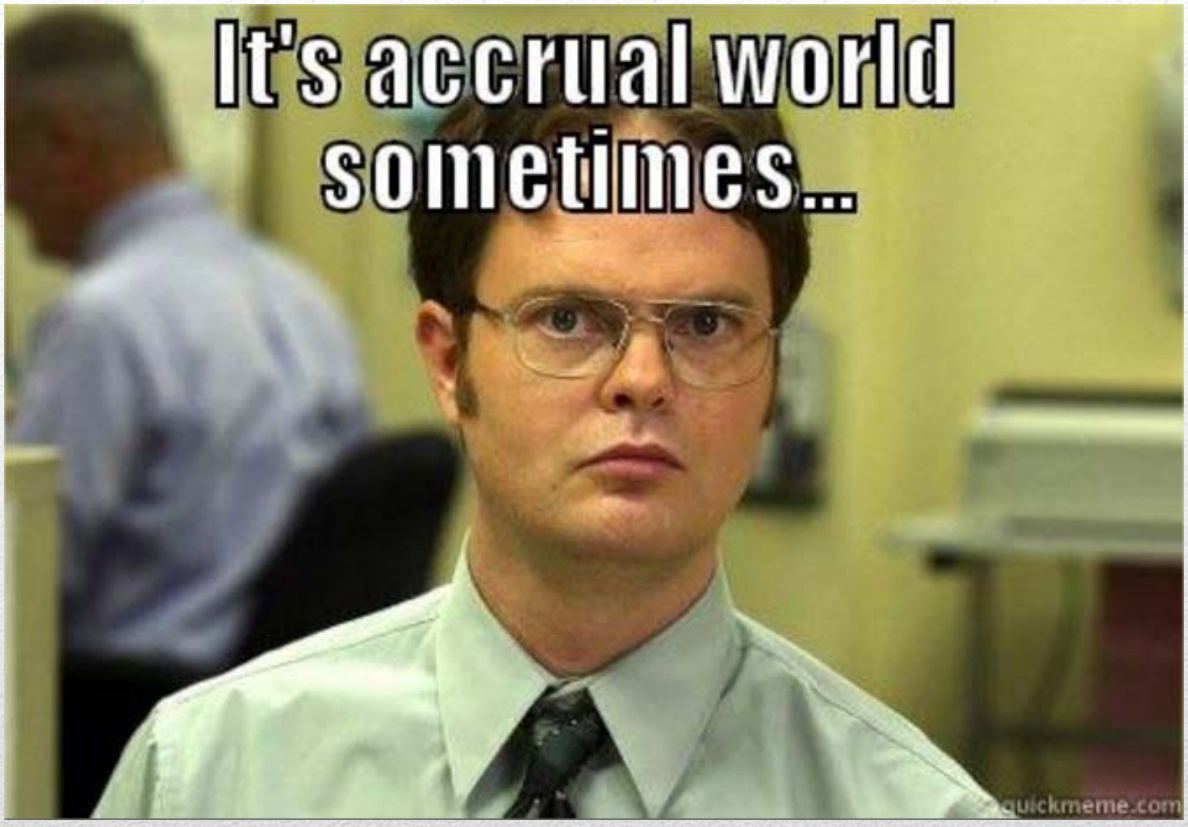
- Cumulative Labor Hours
  - 400
- Estimated Additional Hours
  - 150
- Cumulative Parts Costs
  - 60,000
- Estimated Additional Parts Costs
  - 20,000

January

- Cumulative Labor Hours
  - 600
- Estimated Additional Hours
  - 250
- Cumulative Parts Costs
  - 80,000
- Estimated Additional Parts Costs
  - none

February

- Cumulative Labor Hours
  - 844
- Cumulative Parts Costs
  - 80,161



Questions?